investment will become more correlated or less correlated with the others, which is why it is prudent to own several dissimilar investments. Having several types of investments with varying correlations will provide the overall MPT benefit you are looking for.

By studying asset-class correlations among investments that are expected to have a real rate for return over inflation and employing an asset allocation strategy using those investments, you will reduce the chance of a large portfolio loss and reduce portfolio risk over time. However, you will not eliminate these risks. You cannot eliminate all risk from your portfolio even if you have several investment categories in your portfolio.

There will be periods of time when even the most broadly diversified portfolios will lose money. When those periods occur, there is nothing an investor can do short of abandoning the entire investment plan, which is not a good idea. Trying to guess when down periods will occur and adjusting your portfolio accordingly will probably lose you more money and cause you more frustration than sticking with your plan and pushing through the storm.

Figure 3-13 provides an example of how 50 percent intermediate-term Treasury notes and 50 percent S&P 500 performed annually. The histogram covers all 60 years from 1950 to 2009. Most years the return was between negative 5 percent and positive 25 percent. The worst year was in 2008 with a negative 11.9 percent return, and the best year was in 1954 with a positive 27.7 percent return. There were 11 years out of 60 when the returns where negative. That is about 1 year in 5.

A single-year loss in a portfolio does not signal the failure of an asset allocation strategy. Rather, losses must be expected to occur on occasion. However, for those who expect to make money every year, losing periods such as those that occurred in 1974, 2002, and 2008 can lead to the failure of an investment plan. By failure, I mean that the investor abandons his or her long-term strategy because he or she has lost money. You will lose money during your investing life and should expect to at times. It is better to prepare for it now so that you will not do permanent damage to your investment plan when losses occur again in the future.

FIGURE 3-13